

# Mobility, Migration, and Intergenerational Transmission

Labor I — Week 10

Teaching deck draft

## Central question and motivation

- Week 10 asks how workers move across employers, occupations, places, and generations.
- Mobility is both an adjustment margin and a margin constrained by frictions.
- The labor question is whether movement changes access to better wage ladders, firms, and local opportunities.

## Bridge from Week 9

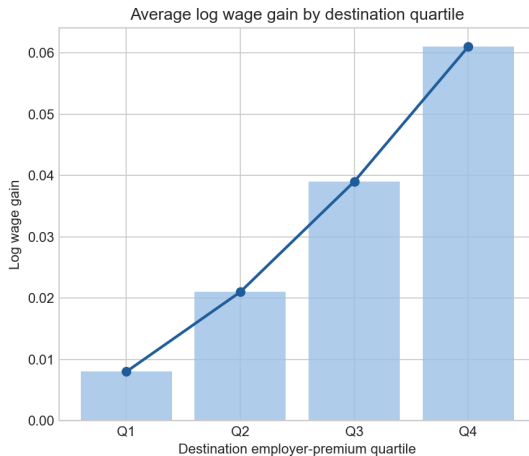
- Week 9 showed that opportunity sets may already be segmented by identity, firms, and places.
- Week 10 asks how workers move through that segmented architecture, and who remains stuck.
- This is the bridge from static inequality and discrimination to dynamic reallocation and persistence.

# Mobility objects and measurement

$$P_{jk} = \Pr(Q_{i,t+1} = k \mid Q_{it} = j, M_{it} = 1), \quad h_{it} = \Pr(M_{it} = 1 \mid X_{it}, Z_t)$$

- Transition matrices tell us where movers go.
- Hazard rates tell us who moves and when.
- Employer, occupation, place, and intergenerational mobility are different objects.

# Transition matrix intuition

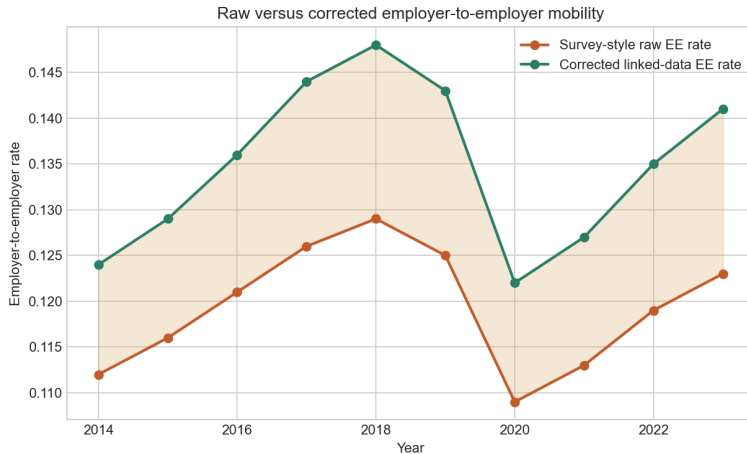


# Worker mobility and wage growth

$$\Delta \log w_{i,t+1} = \alpha + \beta M_{it} + \gamma(\psi_{f_{i,t+1}} - \psi_{f_{it}}) + \varepsilon_{it}$$

- Linked employer-employee data let us see whether wage growth comes from destination firms.
- Mobility is not neutral churn when firms sit on different wage ladders.
- Measurement correction matters because employer-to-employer flows are easy to undercount.

# Measurement correction for EE mobility

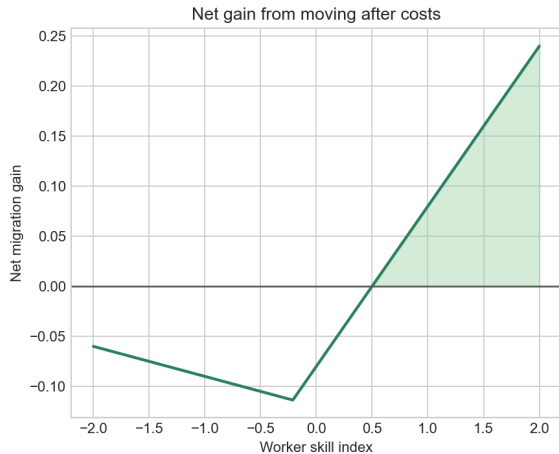


# Migration as labor-market reallocation

$$M_i = \mathbf{1} \left\{ \max_{d \in \mathcal{D}} (\mu_d + r_d s_i + a_{id}) - (\mu_o + r_o s_i + a_{io}) - \kappa_{iod} > 0 \right\}$$

- Migration is an investment problem with selection.
- Returns depend on destination wage levels, returns to skill, and moving costs.
- Observed mover gains are not automatically causal because movers are selected.

# Roy-style migration selection



$$\tau^{move} = \mathbb{E}[M_i(1) - M_i(0)]$$

- Credit lotteries identify what happens when one mobility friction is relaxed.
- This is different from comparing movers with stayers in observational data.
- The labor payoff can appear in distant moves, employer changes, or occupational upgrading.

# Migration reforms and exposure designs

$$Y_{rt} = \alpha_r + \delta_t + \beta(\text{Exposure}_r \times \text{Post}_t) + X'_{rt}\Gamma + \varepsilon_{rt}$$

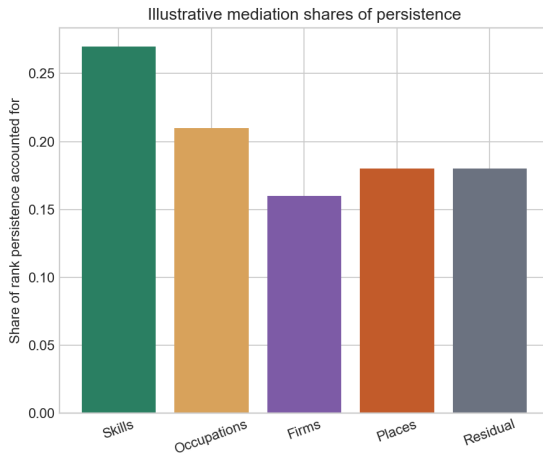
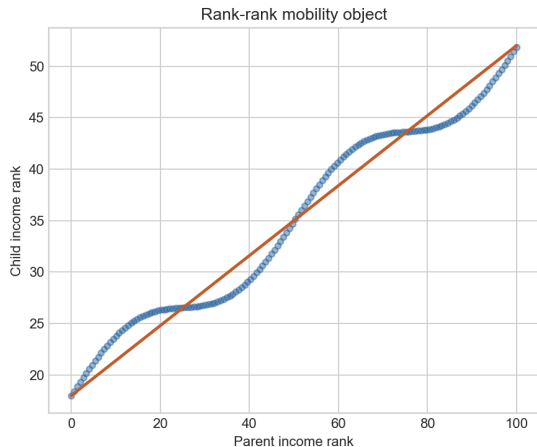
- Reform and border designs ask how labor markets respond when migration access changes.
- The identifying variation is differential exposure to the reform, not raw migrant shares.
- These are reduced-form local-equilibrium effects, not one pure structural channel.

# Intergenerational transmission of labor outcomes

$$R_i^{child} = \alpha + \beta R_i^{parent} + u_i$$

- Rank-rank slopes summarize relative mobility across generations.
- Parent-child linked data reveal persistence across places, cohorts, and family backgrounds.
- The next question is which channels carry the persistence: skills, occupations, firms, or places.

# Rank-rank and mediation intuition



# Empirical progress and causal designs

- Linked employer-employee data turned mobility into a firm-sorting question.
- Linked parent-child data turned mobility into a place and cohort mapping question.
- Lotteries, reforms, and exposure designs improved identification of frictions and migration shocks.
- Measurement correction improved the basic employer-to-employer mobility object itself.

# Inequality persistence through firms, occupations, and places

- Wage ladders differ across firms.
- Career ladders differ across occupations.
- Opportunity sets differ across places.
- Intergenerational persistence partly reflects differential access to those ladders.

- Week 11 asks which worker-side policies relax frictions or change incentives.
- Week 10 says policy targets may include liquidity, information, migration access, and place constraints.
- Mobility evidence helps decide whether the right intervention is cash, search help, training, or reform.

- Mobility is a family of objects, not one statistic.
- Movement across firms, occupations, and places can amplify or reduce inequality persistence.
- Good mobility research combines better measurement with explicit identifying variation.
- Worker policy is partly about which mobility frictions are actually relaxable.

## Appendix: optional extension block

- Careers and intergenerational mobility.
- Measurement correction for employer-to-employer reallocation.
- Housing, amenities, and place-based opportunity.